

Multiple Choice (10 marks)

1. Explain why the opportunity for unions to increase the demand for labor is limited.
 - (a) Unions determine labor productivity
 - (b) Unions can directly control employment rates nationally
 - (c) Unions are the primary drivers of economic growth and thereby increase labor demand
 - (d) Unions can significantly increase labor demand
 - (e) Unions have limited means to influence the demand for labor
2. The appropriate fiscal policy to remedy inflation calls for
 - (a) decreased government spending and increased taxes.
 - (b) the federal government to decrease the money supply.
 - (c) the federal government to run a deficit.
 - (d) decreased taxes and increased government spending.
 - (e) the federal government to increase the money supply.
3. Which of the following examples would result in consumers paying for the largest burden of an excise tax placed on a producer?
 - (a) If both the demand and supply curves are price inelastic
 - (b) If the demand curve is perfectly elastic and the supply curve is perfectly inelastic
 - (c) If the demand curve is price inelastic and the supply curve is price elastic
 - (d) If both the demand and supply curves are price elastic
 - (e) If the demand curve is price elastic and the supply curve is price inelastic
4. What is meant by the term marginal costs?
 - (a) the cost of all produced units
 - (b) the fixed cost associated with the production facility
 - (c) the cost of total production
 - (d) the cost of initial unit of production
 - (e) the additional cost of one more unit of production
5. Which of the following is a characteristic of monopolistic competition?
 - (a) Very few competitors.
 - (b) One firm sets the market price.

- (c) Identical products offered by each firm.
- (d) Excess capacity.
- (e) Significant barriers to entry.

True / False (10 marks)

Answer True or False

- 6. True or False: The fitted regression line can be represented as $y_t = \alpha + \beta x_t + u_t$.
- 7. True or False: A monopoly with a straight, downward-sloping demand curve has a marginal revenue curve that is initially downward sloping.
- 8. True or False: The fixed effects panel model is also known as the random effects model in econometric analysis.
- 9. True or False: A decrease in the cost of labor for bookbinding will shift the supply curve for textbooks to the left.
- 10. True or False: A nation producing inside its production possibility curve indicates a permanent decrease in its production capacity.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of a wage rate of \$4.50 on labor hiring decisions in a market economy. How would you determine the number of labor units hired at this wage?
- 12. Discuss the disadvantages of using pure time-series models in economic analysis, particularly in terms of their lack of theoretical motivation compared to structural models.

End of Paper